

	YIPL-Fin-001-01
	Fixed Assets Control Acquisition

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01 ACQUISITION OF FIXED ASSETS –PROCESS FLOW:

01a-UPLOAD APPROVED BUDGET IN YIRAS2 AND CREATE INTERNAL ORDER IN SAP:

i) Approved Budget:

Budget is pre-approved at the beginning of each term (July to June) for assets planned to be bought/manufactured during the term.

ii) Upload in YIRAS2:

Once the STP is approved by Board, the same shall be uploaded in YIRAS2 by HQ PE.

The process to upload budget, create and approve request, reports, etc is attached below:



YIRAS2_upload
process.zip

iii) Create internal orders:

- Once the budget is approved by required authorities, HQ Finance (assets controller-maker) allocates the internal order (IO) code to each line item of approved budget in the combination of plant, customer project and asset class.
- **T-codes related to budget creation:**

T-code	Description
KO01	Create internal order no.
KO22	Update year wise budget
KOH1/2/3	Internal order group Create/display/change
S_ALR_87013019	Budget status

01b-PROCUREMENT:

i) Check internal order for the asset required:

At the time of procurement, user shall check the internal order code created for the asset.

If internal order is available with sufficient budget, user shall proceed to request for CWIP asset code.

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ii) **Insufficient budget:**

If sufficient budget is not available, following 2 options shall be exercised:

a. **Budget Diversion: [Transfer of budget from one Internal order (IO) code (i.e. budget monitoring number defined in SAP to another (total budget remains same in same class)]:**

- Diversion of budget shall be made in accordance with the YC guidelines (Yx-FI-xx-P-001-Capital Investment Management).
- Budget transfer process in SAP is given below:



IO code transfer
process.pdf

b. **Increase in budget via Kian process:**

- For increase in budget, HQ Finance (assets controller) supports the user department to get requisite approvals in accordance with the policy. Once the budget is in place the below process of creation of CWIP code creation is followed:

iii) **Request for asset code creation:**

Asset code requisition format:



Form_Asset code
creation.xls

Role of user department:

- The user department shall send a request in the above format to HQ Finance (assets controller-maker) through a mail in a standard format for creating an asset code in SAP.
- Once the asset code is created in SAP by HQ finance (assets controller-maker), the same shall be reviewed by HQ Finance (assets controller-checker). User department shall request BSG to create asset-material code (as a non valuated stock to track the incoming material through MM module of SAP).
- All the fields in the form to be updated while sending the form to HQ Finance (assets controller-maker).
- Ownership of the asset to be defined in order to help in identification of location of the asset.

Role of HQ Finance (assets controller):

- Before creating asset code, allocated approved budget (IO code) shall be checked along with all the information in the form.
- HQ Finance (assets controller-maker) shall create asset code based on asset

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class (eg. Furniture, Software, etc).

- Every individual asset shall have 1 asset code (i.e. for one quantity) except in case of furniture and fixtures where 1 asset code could be assigned for multiple quantities.
- In case of addition to existing asset, which is required to be depreciated as per the useful life defined for the main asset, sub asset code shall be created with a link to the main asset code.
- For assets in ownership of YIPL but physically at supplier/customer location should be identified specifically under location field in SAP.
- For assets which are funded by supplier and recovered from YIPL through amortization, should be intimated by localisation team once amortization is over to capitalise in FAR.

• **T-codes related to asset code creation:**

T-code	Description
AS01	Creation of Asset code
AS02	Edit asset code
AS03	View asset code
AS05	Block asset code
F-90	For manual capitalization with Posting Key 70 and Transaction type 100-External asset acquisition
ABGL/F-91	Manual transfer amount from any GL code to asset
MIGO	Movement type 241 for material consumption

iv) **Create Purchase Requisition (PR):**

Responsibility	User department raises purchase requisition (PR) in SAP for the required asset.
Creation of PR	• PR is created through <u>T-code- ME51N</u> for asset requisition. • Capital PR is created with account assignment as "A". • It is mandatory to include IO code and the CWIP code in the PR.
Approval of PR	• Approval by concerned authorities as defined in Financial Power Policy (FPP) • PR is released/approved through <u>T-code- ME55</u> • If the PR is not approved by all authorities within 45 days, it gets blocked for conversion to PO. A new PR is then required to be raised.

v) **Create Purchase Order (PO):**

Responsibility	SCM department as per the requirements of user department
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Procurement of capital assets, spares and consumables, etc	- Based on approved PR, PO is created (<u>T-code- ME21N</u>). - Reference of PR document to be given while creating PO. - PO is released/approved in SAP by concerned authorities as defined in Financial Power Policy (FPP) through (<u>T-code- ME28</u>) - Once PO is approved, it is provided to supplier.
	Note: For detailed process, refer purchase process document.

Payment of Customs Duty:

For imported capital assets, duty & for courier shipment (including delivery costs, handling fees, warehouse charges, N Form Charges, etc) are booked on CWIP code through T-code-MIRO (no template-manual MIRO) by plant finance controllers.

vi) Goods Receipt Note (GRN) and Quality inspection:

LECI in:

- On receipt of fixed asset, the security maintains a record of it in the gate inward register and LECI in is done through T-code ZLECI001 in SAP by security based on invoice documents given by transporter. Only after that the vehicle is allowed inside.

GRN:

- GRN is done in stores i.e stock is updated through T-code- MIGO and movement type 101 for capital assets and the entry is recorded under assets under construction. The stores department then forwards invoice to Finance for processing the invoice.

LECI out:

- Once material is unloaded in stores, LECI is released by stores in-charge through T-code-ZLECI002. Security checks whether LECI is released and vehicle is allowed to leave and LECI out is done through T-code- ZLECI003.

Quality Inspection:

- Quality inspection for assets is done by the user department. User department should check on an immediate basis whether the asset received is as per the requirement and intimate SCM/PE department in case of any discrepancy.

vii) Bill Booking:

- Once GRN is done by stores, plant finance controller shall book the invoice through T-code MIRO.

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- Plant Finance controllers shall verify the details of PO, GRN as per SAP and invoice copy received by them. If all details are correct, invoice booking entry shall be posted after simulation (Entry is auto generated by SAP).

01c- CAPITALISATION OF ASSETS:

i) Review of assets under construction:

Assets installed and put to use:

Responsibility of HQ Finance (assets controller):

- Every month end, HQ Finance (assets controller-checker) shall review the assets under construction for capitalization.
- Based on information received (installation certificates) from plant finance controllers, HQ Finance (assets controller-maker) shall create final asset code and capitalize the asset under appropriate asset class.

Responsibility of Plant finance controller:

- Plant finance controllers in co-ordination with zone owners/Plant PE shall update assets installed and put to use on a monthly basis based on the CWIP assets list sent by HQ Finance (asset controller).
- Format for capitalization of assets put to use is enclosed below:



Form_Asset
Capitalisation.xls

Assets not yet put to use:

Responsibility of Plant finance controller:

- Review of assets under construction can be done through T-code-S_ALR_87011964. Based on deactivation date (converted to final asset), plant finance controllers shall review assets not capitalised for more than 3 months for their plant and update HQ Finance (assets controller) on the status and expected date of capitalization.
- Documentation of reasons for assets not capitalised for more than 3 months are to be maintained by plant finance controllers and to be sent to HQ Finance (assets controller).HQ Finance (assets controller-checker)shall review and discuss in case of any further clarification required.

ii) Creation of Final asset code:

Responsibility:

- HQ Finance (assets controller) shall create final asset code before capitalizing the asset.
Through T-code-AIAB and AIBU, distribution (% or amount of CWIP to be capitalised) and settlement process is carried out to capitalize the asset by HQ Finance (assets controller-maker) and the same will be reviewed by HQ Finance (assets controller-checker)

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- **T-codes related to capitalization:**

T-code	Description
AIAB	Capitalisation of asset from CWIP to Main Asset by assigning line items in CWIP
AIBU	Distribution (% or CWIP to be capitalized
AB08	Reversal of wrong capitalisation/asset entry

iii) **Tagging of assets: (new process w.e.f Dec 2018)**

Centrally, tags shall be generated by HQ Finance (assets controller-maker) and sent to plant finance controllers with a bar code on a monthly basis.

Once the assets are put to use, plant finance controllers shall provide tags to user/zone owner to fix the tag on the asset Plant finance controllers shall ensure that there are no untagged capitalised assets and no discrepancy in the barcode details assigned physically and as per SAP.

01d- DEPRECIATION:

Process:

- Depreciation is carried out by HQ Finance (assets controller-maker) on a monthly basis in SAP based on useful life defined at the time of capitalization of fixed asset i.e. depreciation key is assigned to a particular final asset code in SAP.
- The useful life is assigned to final asset code based on the asset life or project life or PE confirmation by HQ finance (assets controller-maker).
- Depreciation entry is automatically passed after running report through T-code AFAB in SAP by HQ Finance (assets controller-maker) on a monthly basis. HQ Finance (assets controller-checker) shall the review and compare the total depreciation of current month with the previous month to check major variances.

- **Determination of Useful Life of asset:**

The useful life is assigned to final asset code based on: whichever is lower

- the asset life or
 - project life or
 - PE confirmation
- Depreciation on assets acquired/purchased, sold/discarded during the year is provided on a pro-rata basis from the date of each addition till the date of sale/discard.

- **T-codes related to depreciation:**

T-code	Description
AFAB	Asset code wise depreciation run for the period
AFBP	View Asset code wise depreciation posted
ABAA	Post manual depreciation
ABZU	Reversal of posted Depreciation

Change in Useful

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life:

Plant PM with support from Plant PE/HQ PE and HQ PM shall validate and evaluate *(annually in Feb)* the useful life and condition of the assets uniquely procured for defined customer programs.

Accordingly, the depreciation will be re-calculated.

01e -RECTIFICATION IN ASSET DETAILS:

- Necessary changes required in the asset details will be initiated by zone owner and once it is approved by department Head and Plant Finance Controller , the same shall be sent by plant finance controller to HQ Finance (assets controller-maker) to make necessary rectification in SAP and the same shall be signed off by HQ Finance (asset controller-checker).
- Request for rectification should be sent in the below attached format:



Form_correction in
asset details.xls

01f-PROCESS FOR TOOL CAPITALIZATION WHERE INITIAL TOOL INVESTMENT COST IS BORNE BY SUPPLIER AND COST OF ASSET IS AMORTISED ON PART SUPPLIED:

The process of capitalization for instances where supplier makes an initial investment in the tool to be developed and amortises the cost of the tool based on the volume of components supplied by the supplier is given below:

Agreement terms with Supplier (tool developer):

As per the terms of the agreement, localisation team and supplier shall agree on the amortised cost of the component (including cost of tool) and quantity of components for recovering the cost of the tool from YIPL.

Procurement of component (manufactured from the tool developed):

A PO shall be raised from the plant where the material is to be received for the quantity up to which cost of asset shall be amortised.

On completion of amortization, localization team shall follow the below process (refer detailed process in 01b- (iii to vii) to capitalize the asset.

- Creation of Asset code
- Create PR
- Create PO
- Leci-in- GRN-Leci out
- Bill booking

01g-In-House development of Applicators:

Responsibility:

All in-house development of applicators shall be coordinated by HQ PE with HQ Finance (assets controller).

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Process:

i) Creation of material codes:

The material code of new applicator (i.e. new FG) shall be created under material type YAPP.

ii) Procurement of material:

Procurement of spares, consumables and other material to develop the new applicator shall be done through the procurement process (refer details in 01b- iv to vii).

iii) Preparation of BOM:

A BOM shall be prepared computing the quantity of materials/ consumables and spares that shall be required to develop the new asset. Maker-Checker sign off to be included in BOM sheet.

iv) FG confirmation and material consumption:

On FG confirmation in SAP, FG stock at storage location will increase and material consumption entry shall be passed automatically at back end.

01h-CONVERSION OF OLD ASSETS (FOR YIPL):

i) Request form for conversion of assets:

Request form shall be raised by zone owner and shall be approved by Department Head, Plant Head and Plant Finance Controller. The same shall be then further approved by HQ PE (in case of manufacturing) and necessary accounting shall be done by HQ Finance (assets controller-maker) and reviewed by HQ Finance (assets controller-checker).



Form_Conversion
of asset.xls

ii) Preparation of BOM:

HQ PE shall add consumables and spares cost to the new asset through BOM process. Maker-Checker sign off to be included in BOM sheet.

iii) Old asset shall be written off:

On intimation, HQ Finance (assets controller) shall write off the old asset in FAR.

iv) Creation of new CWIP code/main asset code for new asset:

HQ Finance (assets controller) shall create new CWIP code and transfer the WDV of old applicator to new CWIP code.

Then total cost will be capitalised to new asset code. Accounting shall be done by HQ Finance (assets controller-maker) and reviewed by HQ Finance (assets controller-checker).

4 REFERENCES & RELATED DOCUMENTS

Number	References

Number	Related Documents

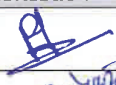
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5 APPENDIX:

6 DOCUMENT APPROVAL:

The authorities in this section accept responsibility for the contents of this policy and authorize it as ready for release to and use by all organizations within Yazaki.

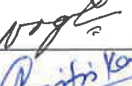
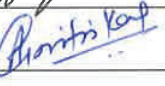
Process Owner:

Title / Role	Name	Authorization*	Revision	Date
HQ Finance (assets controller)	Prashant Kale		Version 1	28/11/2019
HQ PE	Nilesh Borkar		Version 1	09/12/2019

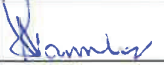
Authored by:

Title / Role	Name	Authorization*	Revision	Date
YEPM co-ordinator	On behalf of Neha Sudame		Version 1	09/12/2019

Reviewed by:

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Finance Head	Biswajit Chaki		Version 1	09/12/2019
PE Head	Nagendra R		Version 1	9/12/2019
BSG Head	Adwait Govitrikar		Version 1	10/12/19

Approved by:

Title / Role	Name	Authorization*	Revision	Date
CFO	Sanjay Vamburkar		Version 1	11/12/19

**Evidence of authorization is either an electronic approval or a physical signature and stored in a secure location.*

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7 DOCUMENT HISTORY:

Revision Summary	Revision	Date

Open Points (used for policy development only- must DELETE prior to release)	Reference